

NORTHGATE LOGISTICS PLC

Financial Report for the Year Ended 31 December 2025 · Amounts are stated in millions of pounds sterling unless otherwise indicated

Management Review

Revenue for 2025 rose 28.0% on the prior year to 24,860.4 million. Growth in road freight volumes and higher freight rates were the main drivers. Operating profit rose to 3,122.2 million, although the operating margin fell from 13.6% to 12.6%.

Profit for the period fell from 1,322.0 million to 347.8 million. The principal cause was the increase in finance costs, which rose from 1,188.4 million to 3,016.5 million.

The Group spent 2,310.8 million on fleet renewal and warehouse capacity during 2025. The greater part of this investment was funded by borrowing.

Statement of Profit or Loss

Statement of Profit or Loss (GBP million)	Note	1 January - 31 December 2025	1 January - 31 December 2024
Revenue	5	24,860.4	19,420.7
Cost of sales	6	(19,305.2)	(14,870.1)
Gross profit		5,555.2	4,550.6
Administrative expenses	7	(1,820.6)	(1,402.3)
Selling and marketing expenses	7	(612.4)	(498.8)
Operating profit		3,122.2	2,649.5
Finance income	9	384.1	301.9
Finance costs	9	(3,016.5)	(1,188.4)
Profit before tax		489.8	1,763.0
Income tax expense	10	(142.0)	(441.0)
Profit for the period		347.8	1,322.0

Statement of Financial Position

Statement of Financial Position (GBP million)	Note	31 December 2025	31 December 2024
Current assets		8,811.9	7,965.4
Cash and cash equivalents	11	1,240.5	1,880.6
Trade receivables	12	4,820.9	3,915.2
Inventories	13	2,110.3	1,748.4
Other current assets		640.2	421.2
Non-current assets		18,359.1	16,104.8
Property, plant and equipment	14	14,330.7	12,480.3
Right-of-use assets	15	2,415.6	2,180.9
Goodwill	16	1,100.0	1,100.0
Other non-current assets		512.8	343.6
Total assets		27,171.0	24,070.2
Current liabilities		10,768.2	7,412.6
Current borrowings	17	6,940.2	4,180.5
Trade payables	18	3,015.4	2,610.8
Other current liabilities		812.6	621.3
Non-current liabilities		7,791.3	8,290.4
Non-current borrowings	17	7,120.8	7,640.1
Employee benefit obligations	19	410.5	385.3
Other non-current liabilities		260.0	265.0
Equity		8,611.5	8,367.2
Share capital		2,000.0	2,000.0
Reserves		4,263.7	3,845.2
Retained earnings		2,000.0	1,200.0
Profit for the period		347.8	1,322.0
Total equity and liabilities		27,171.0	24,070.2

Statement of Cash Flows

Statement of Cash Flows (GBP million)	Note	1 January - 31 December 2025	1 January - 31 December 2024
Cash generated from operations		2,410.6	2,905.3
Change in working capital		(1,180.4)	(420.7)
Interest paid		(2,640.9)	(1,010.2)
Tax paid		(142.0)	(441.0)
Net cash from operating activities		(1,552.7)	1,033.4
Purchase of property, plant and equipment		(2,310.8)	(1,920.4)
Net cash used in investing activities		(2,310.8)	(1,920.4)
Proceeds from borrowings		5,480.0	3,210.6
Repayment of borrowings		(2,256.6)	(1,640.0)
Net cash from financing activities		3,223.4	1,570.6
Net change in cash		(640.1)	683.6

Selected Ratios

Ratio	2025	2024
Current ratio	0.82	1.07
Gross margin (%)	22.3	23.4
Operating margin (%)	12.6	13.6
Net margin (%)	1.4	6.8
Net debt / EBITDA	3.9	2.6
Finance costs / Operating profit (%)	96.6	44.9
Return on equity (%)	4.1	16.4

Note 5 - Revenue by Segment

Segment	Revenue 2025	Revenue 2024	Operating profit 2025	Operating profit 2024
Road freight	12,480.6	9,840.2	1,620.4	1,410.8
Sea freight	6,420.8	5,210.4	880.2	720.5
Warehousing	3,980.2	2,960.1	410.6	318.2
Customs and advisory	1,978.8	1,410.0	211.0	200.0
Total	24,860.4	19,420.7	3,122.2	2,649.5

18.4% of revenue was earned from a single customer (2024: 11.2%). The framework agreement with that customer expires on 31 December 2026 and there is no undertaking that it will be renewed.

Note 5.1 - Quarterly Revenue and Operating Profit

Period	Revenue	Operating profit	Margin (%)
Q1	5,210.4	742.8	14.3
Q2	6,120.8	810.2	13.2
Q3	6,480.6	820.4	12.7
Q4	7,048.6	748.8	10.6

Note 6 - Cost of Sales

Cost of sales comprises 11,420.6 million of fuel and energy costs, 4,210.8 million of staff costs, 2,180.4 million of depreciation and amortisation, and 1,493.4 million of maintenance, insurance and other costs.

Note 7 - Operating Expenses

Administrative expenses comprise 980.2 million of staff costs, 312.4 million of advisory and audit fees, 248.6 million of information technology costs and 279.4 million of other costs. Selling and marketing expenses include 410.8 million of sales staff and commission costs.

Note 9 - Finance Income and Costs

Finance costs comprise 1,840.6 million of interest on borrowings, 1,054.2 million of foreign exchange losses and 121.7 million of interest on lease liabilities. The Group's net foreign currency liability at 31 December 2025 was 4,180.0 million (2024: 2,640.0 million).

A 10% movement in exchange rates would reduce profit before tax by 418.0 million.

Note 12 - Trade Receivables

Ageing	2025	2024
Not yet due	2,980.4	2,810.6
0-30 days	880.2	640.1
31-90 days	520.8	310.4
91-180 days	290.6	118.2
Over 180 days	148.9	35.9
Total	4,820.9	3,915.2

An allowance for doubtful receivables of 118.4 million was recognised in 2025 (2024: 42.6 million). Receivables more than 180 days overdue increased to 148.9 million (2024: 35.9 million).

Note 14 - Property, Plant and Equipment

Additions during the year were 2,310.8 million and depreciation charged was 460.4 million. Assets with a carrying amount of 9,840.0 million are mortgaged as security for borrowings.

Note 16 - Goodwill

Goodwill of 1,100.0 million arises from the warehousing business acquired in 2022. The annual impairment test used a discount rate of 24.5% and a long term growth rate of 5.0%. A 2 percentage point increase in the discount rate would give rise to an impairment of 180.0 million.

Note 17 - Borrowings

Maturity	2025	2024
Within 1 year	6,940.2	4,180.5
1-2 years	3,410.6	3,120.4
2-5 years	3,210.2	3,980.7
Over 5 years	500.0	539.0
Total	14,061.0	11,820.6

Total borrowings at 31 December 2025 were 14,061.0 million (2024: 11,820.6 million). Of this, 8,640.0 million bears interest at floating rates. A 1 percentage point increase in interest rates would increase annual finance costs by 86.4 million.

The loan agreements contain a covenant that net debt to EBITDA must not exceed 4.0. At 31 December 2025 the ratio was 3.9.

Note 19 - Provisions and Contingent Liabilities

Claims brought against the Group total 412.6 million. A provision of 180.2 million has been recognised; no provision has been made for the remainder on the basis of legal advice.

Guarantees, pledges and mortgages given total 10,840.0 million.

Note 22 - Going Concern

At 31 December 2025 the Group's current liabilities exceeded its current assets by 1,956.3 million. Management is in discussion with its banks regarding the refinancing of 6,940.2 million of borrowings falling due within twelve months.

Taking into account a financing undertaking of 1,500.0 million from the parent company and undrawn facilities of 2,200.0 million, the financial statements have been prepared on a going concern basis.

Note 24 - Events After the Reporting Period

In January 2026 a two year loan of 1,800.0 million was drawn. In February 2026 an order was placed for five tractor units at a cost of 640.0 million.